

# Canadian Household Credit Risk Monitoring Dashboard

Executive overview of household debt service, leverage, insolvency growth, and early-warning credit stress

52.25

Risk Score / 100

Moderate Risk

Risk Category

14.57%

Debt Service Ratio (%)

176.85%

Debt-to-Income Ratio (%)

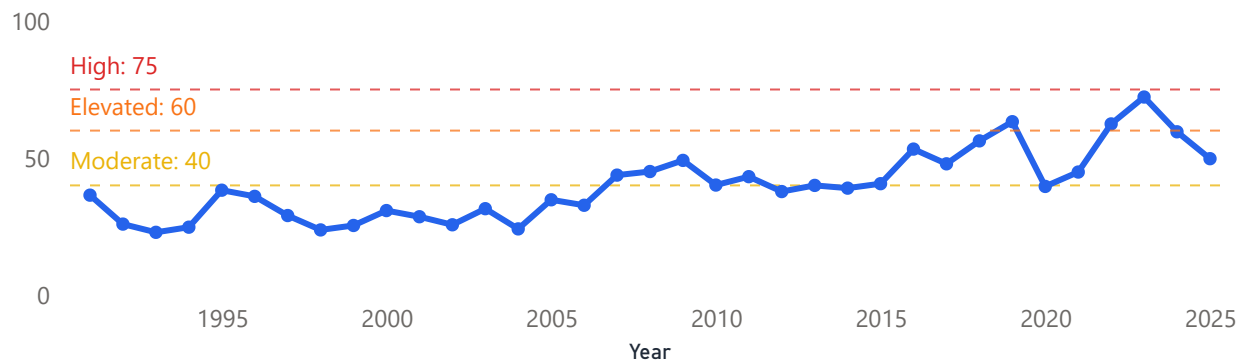
34.86K

Consumer Insolvencies

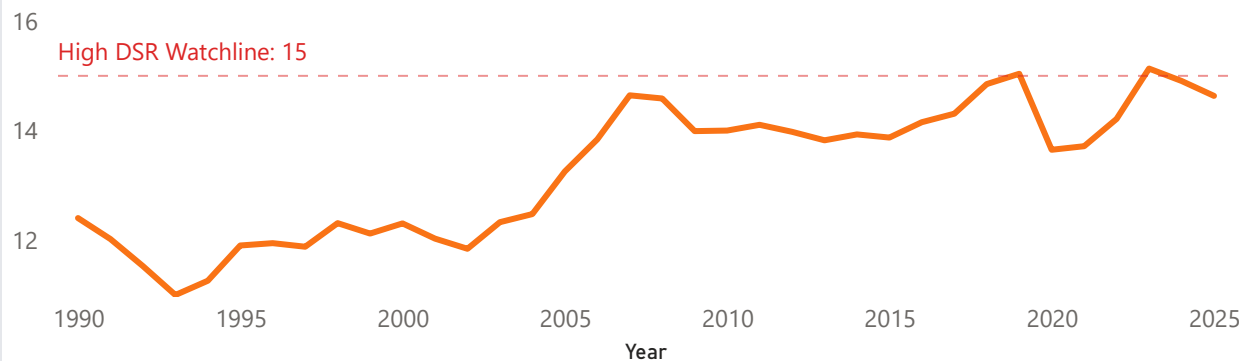
3.33%

Insolvency Growth YoY (%)

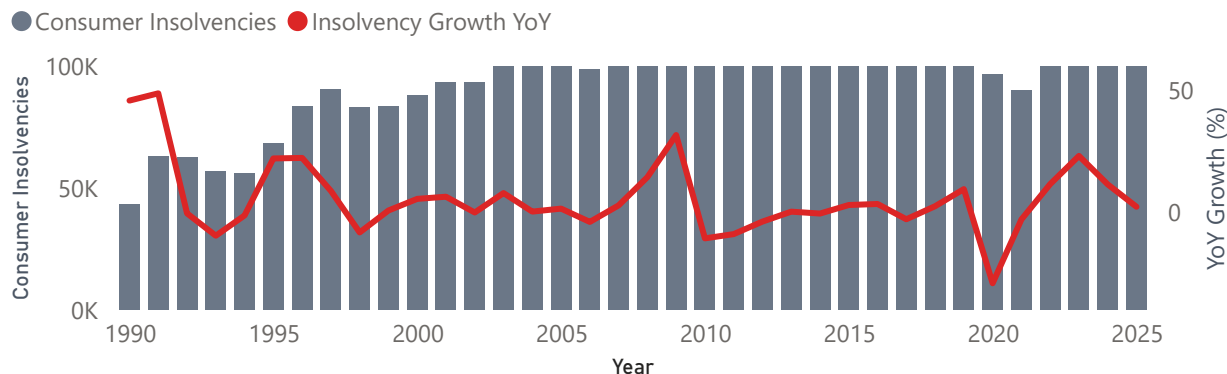
Household Credit Risk Score Trend



Debt Service Ratio Trend



Consumer Insolvencies and Growth Trend



Latest Risk Interpretation

Canada's household credit risk is currently classified as Moderate Risk, with a risk score of 52.3/100. The debt service ratio is 14.57%, debt-to-income is 176.85%, and insolvency growth is 3.33% YoY.

Risk Narrative

Increase monitoring of household credit stress indicators and review vulnerable borrower segments.

Suggested Action

# Credit Stress Drivers

Breakdown of risk-score components, indicator movements, and household credit stress drivers

Year

All

Quarter

All

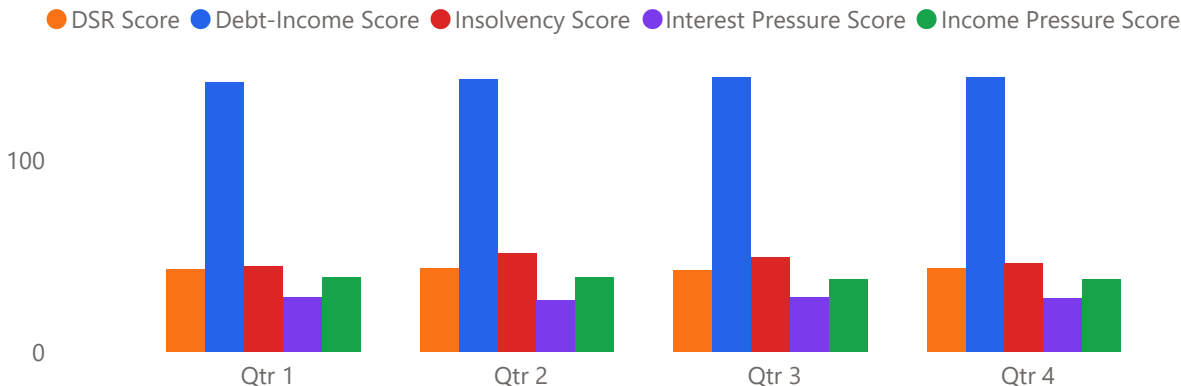
Risk Category

All

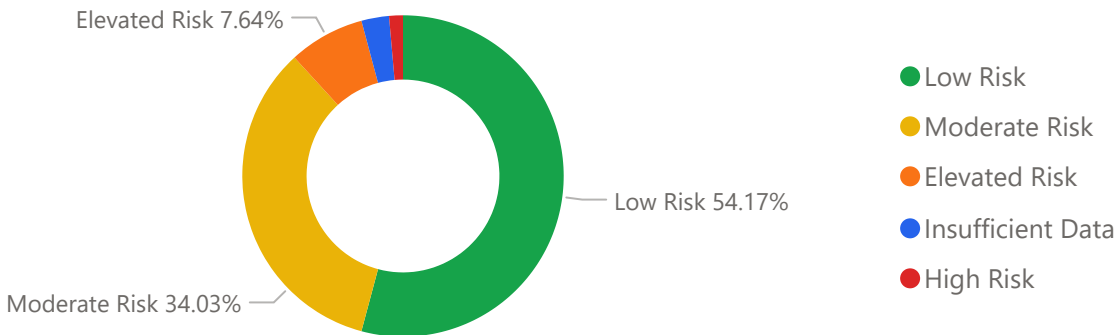
Traffic Light

All

Average Risk Component Scores by Quarter



Historical Risk Category Distribution



Credit Stress Indicator Change Matrix

|        | DSR YoY Change | Debt-to-Income YoY Change | Interest Cost YoY Change | Income Growth YoY | Insolvency Growth YoY | Risk Score |
|--------|----------------|---------------------------|--------------------------|-------------------|-----------------------|------------|
| 2025Q4 | -0.10          | -0.35                     | -0.08                    | 3.00              | 3.33                  | 52.25      |
| 2025Q3 | -0.16          | -1.53                     | -0.11                    | 3.42              | 4.82                  | 52.25      |
| 2025Q2 | -0.39          | -3.23                     | -0.11                    | 5.06              | 0.09                  | 49.75      |
| 2025Q1 | -0.44          | -5.18                     | -0.08                    | 7.37              | 1.00                  | 44.75      |
| 2024Q4 | -0.46          | -5.78                     | -0.03                    | 7.53              | 6.06                  | 53.75      |
| 2024Q3 | -0.32          | -6.22                     | 0.05                     | 7.88              | 13.51                 | 57.50      |
| 2024Q2 | -0.05          | -6.59                     | 0.13                     | 7.84              | 12.36                 | 63.50      |

Analyst Notes

- Risk has improved from Elevated to Moderate as insolvency growth slowed.
- Debt-to-income remains high, keeping household leverage risk elevated.
- Debt service ratio remains above earlier-period levels, showing continued repayment pressure.
- Continue monitoring leverage, repayment pressure, insolvency momentum, interest-cost pressure, and data completeness.
- Risk teams should continue tracking leverage, repayment burden, insolvency momentum, and interest-cost pressure as early-warning indicators.

# Early Warning Command Center

Threshold-based monitoring of household credit stress indicators, alert status, and recommended risk response

Year

All

Quarter

All

Risk Category

All

Traffic Light

All

4

Active Alert Indicators

0

High Alert Indicators

Debt Service Ratio

Primary Risk Driver

1

Deteriorating Indicators

Increase monitoring frequency

Recommended Action

Alert

Debt Service Ratio

Alert

Debt-to-Income

Watch

Insolvency Growth

Normal

Interest Pressure

Watch

Income Pressure

| Threshold Alert Watchlist |               |                  |                          |                       |                     |                                                           |
|---------------------------|---------------|------------------|--------------------------|-----------------------|---------------------|-----------------------------------------------------------|
|                           | Risk Category | DSR Alert Status | Debt Income Alert Status | Interest Alert Status | Income Alert Status | Suggested Action                                          |
| 2025Q4                    | Moderate Risk | Alert            | Alert                    | Normal                | Watch               | Increase monitoring of household credit stress indicators |
| 2025Q3                    | Moderate Risk | Alert            | Alert                    | Normal                | Watch               | Increase monitoring of household credit stress indicators |
| 2025Q2                    | Moderate Risk | Alert            | Alert                    | Normal                | Normal              | Increase monitoring of household credit stress indicators |
| 2025Q1                    | Moderate Risk | Alert            | Watch                    | Normal                | Normal              | Increase monitoring of household credit stress indicators |

### Risk Response Framework

**Normal:** Continue standard monitoring.

**Watch:** Increase monitoring frequency and review recent movement.

**Alert:** Review vulnerable borrower segments and validate related indicators.

**High Alert:** Escalate to risk leadership, stress-test portfolios, and review policy thresholds.

### Threshold Definitions

**DSR:** High Alert above 15%.

**Debt-to-Income:** High Alert above 185%.

**Insolvency Growth:** High Alert above 15% YoY.

**Interest Pressure:** High Alert above 0.75 YoY change.

**Income Pressure:** High Alert when income growth is zero or negative.